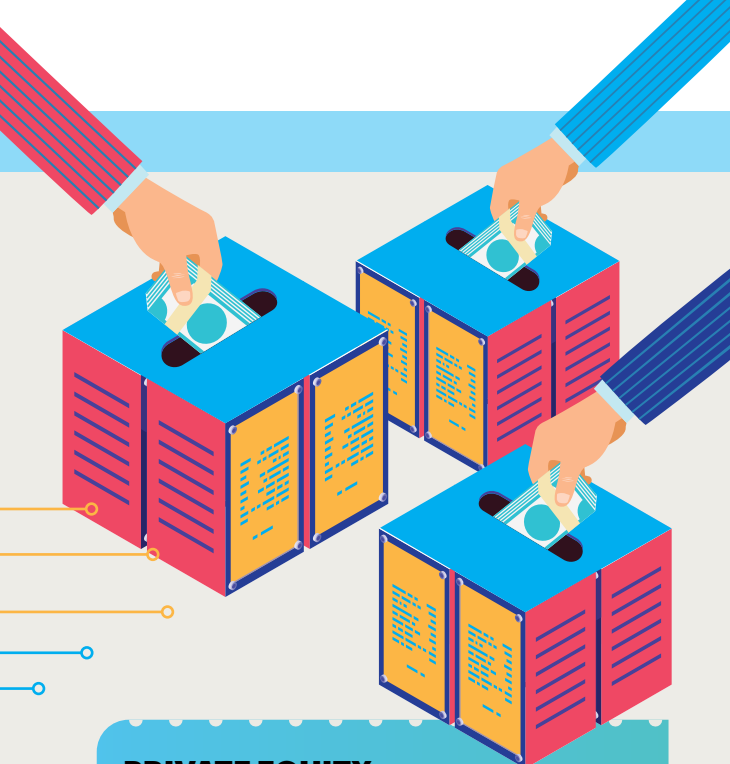




PRIVATE EQUITY

BLACKSTONE GROUP

► Will invest up to \$11 billion in Maharashtra over the next three to five years. Also planning to develop India's single largest hyperscale data centre with 500 MW capacity in Navi Mumbai, with an investment of over ₹20,000 crore

BROOKFIELD

► Brookfield, RIL, and Digital Realty set up a three-way JV to develop data centres. The 100 MW campus in Chennai is under development, and the JV plans to set up a 40 MW DC in Mumbai

GOVERNMENT

► Allocation of \$1.2 bn to develop an AI compute infrastructure of at least 10,000 GPUs

AI AND JOBS

- AI has led to significant job losses as routine coding and support roles are being replaced by automation



LEVELS OF AI IMPACT	IMPACT ON JOB MARKET	DESCRIPTION
Amplify	Low	Roles that could be impacted: mid-to-senior management activities such as pricing strategy, investment strategies/decisions, business planning, product design
Augment	Headwind to incremental hiring	Tasks that can be improved or partially replaced with AI: mid-office to back-office functions such as sales and marketing, legal and audit, customer on-boarding, loan approval process, supply chain business processing
Automate	High—May reduce present headcount	Tasks that can be totally or materially replaced by AI: low-end knowledge jobs such as L1/L2 customer support, low-end finance and accounting activities, web scrapping/analytics

SOURCE HSBC GLOBAL INVESTMENT RESEARCH, OCTOBER 2025

build, manage and scale up global teams using the GCC and outsourcing model.

His view is simple: technology has not been core, but AI is core. Vashistha, earlier Chairman & CEO of Accenture India, says the main challenge before IT companies is that they are a legacy business. They must reinvent. "AI-first or AI-native is the key to success, and they must quickly pivot. Earlier, it was deploying SAP solutions, and now it comes down to integrating solutions at scale."

With a suite of specialised functions, GCCs have managed to position themselves very effectively.

How the IT sector manages to crack this (they have entered the space but will need to scale up) will be closely tracked.

Schumacher says the growth of GCCs is a major challenge for Indian IT services firms. "GCCs are cutting into their revenue growth, attracting their highest-skilled/best qualified professionals, increasing costs and compensation levels and taking on higher-value functions that were once differentiating offerings of leading services firms," he says. IT services firms, according to him, have been shifting work to Tier II cities to lower costs. The aim is to reduce the effect of canni-